



Capital of Texas Public Telecommunications Council (dba Austin PBS and/or KLRU)

**Consolidated Financial Statements
as of and for the Years Ended
September 30, 2024 and 2023 and
Independent Auditors' Report**

MAXWELL LOCKE & RITTER LLP | Accounting & Advisory

AUSTIN 401 Congress Avenue, Suite 1100, Austin, TX 78701

ROUND ROCK 411 West Main Street, Suite 300, Round Rock, TX 78664

MLRPC.COM

Independent Auditors' Report

To the Board of Directors of
Capital of Texas Public Telecommunications Council (dba Austin PBS and/or KLRU):

Opinion

We have audited the accompanying consolidated financial statements of Capital of Texas Public Telecommunications Council (dba Austin PBS and/or KLRU) (a nonprofit organization) and its subsidiary, Austin PBS New Ventures, Inc., (a Texas corporation) (collectively, the "Organization"), which comprise the consolidated statements of financial position as of September 30, 2024 and 2023, and the related consolidated statements of activities, functional expenses, and cash flows for the years then ended, and the related notes to the consolidated financial statements.

In our opinion, the consolidated financial statements referred to above present fairly, in all material respects, the financial position of the Organization as of September 30, 2024 and 2023, and the changes in its net assets and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Organization and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Organization's ability to continue as a going concern within one year after the date that the consolidated financial statements are available to be issued.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the consolidated financial statements.

In performing an audit in accordance with generally accepted auditing standards, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the consolidated financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Organization's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the consolidated financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Organization's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control related matters that we identified during the audit.



Austin, Texas
March 7, 2025

Capital of Texas Public Telecommunications Council
(dba Austin PBS and/or KLRU)

Consolidated Statements of Financial Position
September 30, 2024 and 2023

	2024	2023
Assets		
Cash and cash equivalents	\$ 12,489,592	\$ 12,102,561
Investments	6,005,501	5,604,874
Accounts receivable	621,262	565,666
Capital campaign contributions receivable, net	404,406	720,960
Prepaid expenses	2,603,846	2,319,232
Program rights	3,230,790	1,427,142
Cash restricted to investment in building construction	-	1,781,490
Property and equipment, net	9,902,769	9,197,419
Finance lease right-of-use assets	31,711	57,057
Operating lease right-of-use assets	8,535,809	8,179,866
Total assets	<u>\$ 43,825,686</u>	<u>\$ 41,956,267</u>
Liabilities and Net Assets		
Liabilities:		
Accounts payable	\$ 906,471	\$ 1,396,084
Accrued liabilities	871,896	678,042
Deferred revenue	1,600,372	1,136,943
Finance lease obligations	33,610	58,080
Operating lease obligations	9,812,857	8,893,273
Total liabilities	13,225,206	12,162,422
Net assets:		
Without donor restrictions:		
Undesignated	24,594,979	14,822,480
Management-designated reserve	-	246,506
Management-designated endowment reserve	2,803,811	2,341,140
Total net assets without donor restrictions	27,398,790	17,410,126
With donor restrictions	3,201,690	12,383,719
Total net assets	<u>30,600,480</u>	<u>29,793,845</u>
Total liabilities and net assets	<u>\$ 43,825,686</u>	<u>\$ 41,956,267</u>

See notes to consolidated financial statements.

Capital of Texas Public Telecommunications Council
(dba Austin PBS and/or KLRU)

Consolidated Statement of Activities
Year Ended September 30, 2024
(with summarized comparative totals for the year ended September 30, 2023)

	2024			2023
	Without Donor Restrictions	With Donor Restrictions	Total	Total
Revenues and net assets released from restrictions:				
Memberships	\$ 11,772,154	-	11,772,154	10,545,241
License fees, royalties, and other	2,421,971	-	2,421,971	2,772,747
Community service grant	2,233,371	-	2,233,371	1,939,379
Special events, net	2,082,977	-	2,082,977	909,275
Investment return, net	782,555	638,926	1,421,481	762,015
Production underwriting	1,064,211	-	1,064,211	1,318,825
In-kind support and contributed services	1,060,042	-	1,060,042	1,015,734
Educational services	552,151	-	552,151	228,274
Program underwriting	471,474	-	471,474	549,317
Capital contributions	-	7,778	7,778	254,760
Net assets released from restrictions	9,828,733	(9,828,733)	-	-
Total revenues and net assets released from restrictions	32,269,639	(9,182,029)	23,087,610	20,295,567
Expenses:				
Program services:				
Production	6,269,768	-	6,269,768	5,585,744
Programming	3,353,348	-	3,353,348	3,205,331
Broadcasting	2,399,625	-	2,399,625	1,988,472
Marketing and communications	1,597,995	-	1,597,995	1,137,599
New Ventures	741,805	-	741,805	553,500
Total program services	14,362,541	-	14,362,541	12,470,646
Support services:				
Management and general	3,938,260	-	3,938,260	3,728,642
Membership and development	3,980,174	-	3,980,174	3,411,155
Total support services	7,918,434	-	7,918,434	7,139,797
Total expenses	22,280,975	-	22,280,975	19,610,443
Change in net assets	9,988,664	(9,182,029)	806,635	685,124
Net assets, beginning of year	17,410,126	12,383,719	29,793,845	29,108,721
Net assets, end of year	\$ 27,398,790	3,201,690	30,600,480	29,793,845

See notes to consolidated financial statements.

Capital of Texas Public Telecommunications Council
(dba Austin PBS and/or KLRU)

Consolidated Statement of Activities
Year Ended September 30, 2023

	Without Donor Restrictions	With Donor Restrictions	Total
Revenues and net assets released from restrictions:			
Memberships	\$ 10,545,241	-	10,545,241
License fees, royalties, and other	2,772,747	-	2,772,747
Community service grant	1,939,379	-	1,939,379
Special events, net	909,275	-	909,275
Investment return, net	429,600	332,415	762,015
Production underwriting	1,318,825	-	1,318,825
In-kind support and contributed services	1,015,734	-	1,015,734
Educational services	228,274	-	228,274
Program underwriting	549,317	-	549,317
Capital contributions	-	254,760	254,760
Net assets released from restrictions	376,749	(376,749)	-
Total revenues and net assets released from restrictions	20,085,141	210,426	20,295,567
Expenses:			
Program services:			
Production	5,585,744	-	5,585,744
Programming	3,205,331	-	3,205,331
Broadcasting	1,988,472	-	1,988,472
Marketing and communications	1,137,599	-	1,137,599
New Ventures	553,500	-	553,500
Total program services	12,470,646	-	12,470,646
Support services:			
Management and general	3,728,642	-	3,728,642
Membership and development	3,411,155	-	3,411,155
Total support services	7,139,797	-	7,139,797
Total expenses	19,610,443	-	19,610,443
Change in net assets	474,698	210,426	685,124
Net assets, beginning of year	16,935,428	12,173,293	29,108,721
Net assets, end of year	\$ 17,410,126	12,383,719	29,793,845

See notes to consolidated financial statements.

**Capital of Texas Public Telecommunications Council
(dba Austin PBS and/or KLRU)**

Consolidated Statement of Functional Expenses

Year Ended September 30, 2024

(with summarized comparative totals for the year ended September 30, 2023)

	2024										
	Program Services						Support Services				
				Marketing and Communications		Total Program Services	Membership and Development	Management and General	Total Support Services	2024 Total	2023 Total
	Production	Programming	Broadcasting		New Ventures						
Salaries	\$ 1,117,437	544,805	964,614	791,515	170,496	3,588,867	1,299,924	1,899,348	3,199,272	6,788,139	4,985,393
Production costs	3,045,973	9,769	32,003	87,203	109,220	3,284,168	793,002	42,936	835,938	4,120,106	3,113,046
Dues and subscriptions	28,016	2,011,428	8,736	1,645	-	2,049,825	820	50,655	51,475	2,101,300	1,991,850
Benefits	249,024	131,789	211,480	156,276	32,932	781,501	286,462	292,303	578,765	1,360,266	1,361,116
Contract services	408,813	47,199	330	59,515	143,557	659,414	216,259	136,329	352,588	1,012,002	719,050
Occupancy	6,120	280,887	261,758	-	11,040	559,805	-	445,263	445,263	1,005,068	915,381
Professional services	59,047	-	5,226	277,064	96,117	437,454	35,973	349,692	385,665	823,119	869,169
Maintenance and support	40,950	1,535	389,719	21,664	-	453,868	141,248	33,998	175,246	629,114	423,599
Supplies	19,087	129,033	207,345	3,094	4,461	363,020	32,853	17,831	50,684	413,704	413,429
Bank fees and service charges	4,008	1,275	-	-	8,894	14,177	391,899	2,360	394,259	408,436	319,845
Meetings and travel	22,185	24,682	18,308	16,225	1,606	83,006	129,048	61,124	190,172	273,178	285,655
Events	1,758	24	-	774	-	2,556	240,153	628	240,781	243,337	259,858
Fundraising - membership	-	-	-	-	-	-	108,424	60,165	168,589	168,589	105,455
Insurance	1,000	-	-	-	21,269	22,269	-	104,845	104,845	127,114	109,349
Internet and telephone	4,475	80	91,850	100	-	96,505	3,300	1,200	4,500	101,005	173,187
Equipment rental	400	-	-	-	-	400	28,833	439	29,272	29,672	16,531
Postage and shipping	575	478	2,054	136	189	3,432	22,183	1,337	23,520	26,952	67,767
Training	2,047	-	3,124	977	-	6,148	5,949	10,879	16,828	22,976	10,295
Web	-	-	-	-	5,820	5,820	-	-	-	5,820	5,700
Interest	-	-	-	-	-	-	-	1,657	1,657	1,657	1,158
Other	4,951	91	21,267	300	136,204	162,813	20,100	57,400	77,500	240,313	172,260
Subtotal	5,015,866	3,183,075	2,217,814	1,416,488	741,805	12,575,048	3,756,430	3,570,389	7,326,819	19,901,867	16,319,093
Depreciation and amortization of property and equipment	337,650	168,815	181,811	142,852	-	831,128	194,797	272,717	467,514	1,298,642	196,955
In-kind support and contributed services	916,252	1,458	-	38,655	-	956,365	28,947	59,730	88,677	1,045,042	1,015,734
403(b) liability	-	-	-	-	-	-	-	35,424	35,424	35,424	421,216
Impairment of property and equipment	-	-	-	-	-	-	-	-	-	-	1,657,445
Total expenses	\$ 6,269,768	3,353,348	2,399,625	1,597,995	741,805	14,362,541	3,980,174	3,938,260	7,918,434	22,280,975	19,610,443

See notes to consolidated financial statements.

**Capital of Texas Public Telecommunications Council
(dba Austin PBS and/or KLRU)**

**Consolidated Statement of Functional Expenses
Year Ended September 30, 2023**

	Program Services					Support Services				
	Production	Programming	Broadcasting	Marketing and Communications	New Ventures	Total Program Services	Membership and Development	Management and General	Total Support Services	Total
Salaries	\$ 915,850	586,752	665,495	440,242	112,705	2,721,044	1,039,209	1,225,140	2,264,349	4,985,393
Production costs	2,421,875	1,206	24,497	78,610	56,440	2,582,628	483,558	46,860	530,418	3,113,046
Dues and subscriptions	12,910	1,924,441	763	2,007	-	1,940,121	4,577	47,152	51,729	1,991,850
Benefits	321,843	147,884	173,161	93,017	14,247	750,152	282,250	328,714	610,964	1,361,116
Contract services	250,121	89,812	3,685	10,850	180,367	534,835	184,211	4	184,215	719,050
Occupancy	-	-	233,440	-	10,120	243,560	-	671,821	671,821	915,381
Professional services	41,899	-	-	194,566	74,401	310,866	6,100	552,203	558,303	869,169
Maintenance and support	40,480	1,535	221,971	10	-	263,996	120,379	39,224	159,603	423,599
Supplies	13,372	106,830	240,380	3,786	1,037	365,405	29,303	18,721	48,024	413,429
Bank fees and service charges	8,356	-	-	-	2,124	10,480	299,880	9,485	309,365	319,845
Meetings and travel	22,443	27,381	6,294	11,022	-	67,140	157,627	60,888	218,515	285,655
Events	1,703	30,416	-	-	-	32,119	226,944	795	227,739	259,858
Fundraising - membership	-	-	-	-	-	-	73,139	32,316	105,455	105,455
Insurance	-	-	-	-	21,239	21,239	-	88,110	88,110	109,349
Internet and telephone	4,800	180	97,657	550	-	103,187	2,500	67,500	70,000	173,187
Equipment rental	-	-	-	-	-	-	47	16,484	16,531	16,531
Postage and shipping	449	3,803	812	113	125	5,302	58,411	4,054	62,465	67,767
Training	91	1,962	170	-	-	2,223	3,885	4,187	8,072	10,295
Web	-	-	-	-	5,700	5,700	-	-	-	5,700
Interest	-	-	-	-	-	-	-	1,158	1,158	1,158
Other	8,936	2,167	17,572	3,914	74,995	107,584	21,401	43,275	64,676	172,260
Subtotal	4,065,128	2,924,369	1,685,897	838,687	553,500	10,067,581	2,993,421	3,258,091	6,251,512	16,319,093
Depreciation and amortization of property and equipment	51,208	25,604	27,574	21,665	-	126,051	29,543	41,361	70,904	196,955
In-kind support and contributed services	844,323	-	-	61,175	-	905,498	93,547	16,689	110,236	1,015,734
403(b) liability	194,149	39,890	42,959	33,753	-	310,751	46,027	64,438	110,465	421,216
Impairment of property and equipment	430,936	215,468	232,042	182,319	-	1,060,765	248,617	348,063	596,680	1,657,445
Total expenses	\$ 5,585,744	3,205,331	1,988,472	1,137,599	553,500	12,470,646	3,411,155	3,728,642	7,139,797	19,610,443

See notes to consolidated financial statements.

**Capital of Texas Public Telecommunications Council
(dba Austin PBS and/or KLRU)**

**Consolidated Statements of Cash Flows
Years Ended September 30, 2024 and 2023**

	2024	2023
Cash Flows From Operating Activities:		
Change in net assets	\$ 806,635	\$ 685,124
Adjustments to reconcile change in net assets to net cash provided by operating activities:		
Net realized and unrealized gains on investments	(1,025,383)	(518,570)
Amortization of program rights	1,768,709	1,767,980
Depreciation and amortization of property and equipment	1,298,652	196,955
Loss on disposal of property and equipment	3,733	-
Amortization of finance lease right-of-use assets	25,346	16,868
Non-cash lease expense	860,538	658,897
Contributions restricted for building construction	(7,778)	(254,760)
Changes in operating assets and liabilities that provided (used) cash:		
Accounts receivable	(55,596)	326,424
Capital campaign contributions receivable	316,554	404,969
Prepaid expenses	(284,614)	(593,522)
Operating lease right-of-use assets	(296,897)	-
Accounts payable	(489,613)	170,875
Accrued liabilities	193,854	447,068
Deferred revenue	463,429	(220,648)
Net cash provided by operating activities	3,577,569	3,087,660
Cash Flows From Investing Activities:		
Purchases of investments	(2,313,400)	(2,103,732)
Proceeds from sales and maturities of investments	2,938,156	2,049,172
Purchases of program rights	(3,572,357)	(1,752,651)
Purchases of property and equipment	(2,007,735)	92,157
Net cash used in investing activities	(4,955,336)	(1,715,054)
Cash Flows From Financing Activities:		
Payments on finance lease obligations	(24,470)	(15,845)
Contributions restricted for building construction	7,778	254,760
Net cash (used in) provided by financing activities	(16,692)	238,915
Net change in cash, cash equivalents, and restricted cash	(1,394,459)	1,611,521
Cash, cash equivalents, and restricted cash, beginning of year	13,884,051	12,272,530
Cash, cash equivalents, and restricted cash, end of year	<u>\$ 12,489,592</u>	<u>\$ 13,884,051</u>
Supplemental Non-Cash Disclosures:		
Operating lease obligations resulting from the addition of right-of-use assets	<u>\$ 730,112</u>	<u>\$ 8,460,422</u>
Finance lease obligations resulting from the addition of right-of-use assets	<u>\$ -</u>	<u>\$ 73,925</u>

See notes to consolidated financial statements.

Capital of Texas Public Telecommunications Council (dba Austin PBS and/or KLRU)

Notes to Consolidated Financial Statements Years Ended September 30, 2024 and 2023

1. Nature of Operations

Capital of Texas Public Telecommunications Council (dba Austin PBS and/or KLRU) (“KLRU”) is a nonprofit corporation providing public and educational broadcast services through its licensed station, KLRU (Channel 18) as well as other digital and cable broadcast channels, online video content, and direct community services. This station is the public television station which broadcasts high-quality programs to viewers in Austin, Texas and other surrounding areas of Central Texas. KLRU is a member of the Public Broadcasting Service (“PBS”).

KLRU has a wholly-owned for-profit corporate subsidiary, Austin PBS New Ventures (“KNV”), who is the sole member of a limited liability company, ACL Enterprises (“ACLE”), for the purpose of pursuing commercial business opportunities, in particular those associated with the Austin City Limits (“ACL”) brand. Formation of a separate entity protects KLRU from liabilities associated with ACL branding and assures that KLRU’s tax-exempt status will not be jeopardized by significant non-exempt purpose activities. KNV has a separate board of directors appointed by the KLRU Board of Directors (the “Board”). KLRU and KNV have agreements in place governing the licensing of KLRU intellectual property to KNV and the management of shared services between the two.

2. Summary of Significant Accounting Policies

Basis of Presentation and Consolidation - The accompanying consolidated financial statements have been prepared in accordance with accounting principles generally accepted in the United States of America (“U.S. GAAP”) as defined by the Financial Accounting Standards Board Accounting Standards Codification. The consolidated financial statements include the accounts of KLRU, KNV, and ACLE (collectively, the “Organization”). All significant intercompany transactions and balances have been eliminated in consolidation.

Use of Estimates - The preparation of consolidated financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions that affect certain reported amounts and disclosures. Accordingly, actual results could differ from those estimates.

Net Asset Classifications - Net assets, revenues, gains, losses, and expenses are classified based on the existence or absence of donor-imposed restrictions. Accordingly, net assets and changes therein are classified and reported as follows:

Without Donor Restrictions - These net assets are not subject to donor-imposed stipulations. Expenses are reported as decreases in net assets without donor restrictions. Gains and losses on investments and other assets or liabilities are reported as increases or decreases in net assets without donor restrictions, unless their use is restricted by explicit donor stipulation or by law. Net assets without donor restrictions are those currently available for use or at the discretion of the Board of Directors (the "Board") for the Organization's use. Management has designated portions of net assets without donor restrictions for future operations and the endowment fund (Note 11).

With Donor Restrictions - These net assets are subject to donor-imposed stipulations, which limit their use to a specific purpose and/or the passage of time, or which require them to be maintained permanently. Net assets which are required to be maintained permanently are not available for use in operations and limitations neither expire by passage of time nor can be fulfilled or otherwise removed by actions of the Organization.

Fair Value Measurements - Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. Fair value accounting requires characterization of the inputs used to measure fair value into a three-level fair value hierarchy as follows:

- Level 1 - Inputs based on quoted market prices in active markets for identical assets or liabilities. An active market is a market in which transactions occur with sufficient frequency and volume to provide pricing information on an ongoing basis.
- Level 2 - Observable inputs that reflect the assumptions market participants would use in pricing the asset or liability developed based on market data obtained from sources independent from the entity.
- Level 3 - Unobservable inputs that reflect the entity's own assumptions about the assumptions market participants would use in pricing the asset or liability developed based on the best information available.

There are three general valuation techniques that may be used to measure fair value: 1) market approach - uses prices generated by market transactions involving identical or comparable assets or liabilities, 2) cost approach - uses the amount that currently would be required to replace the service capacity of an asset (replacement cost), and 3) income approach - uses valuation techniques to convert future amounts to present amounts based on current market expectations.

Cash and Cash Equivalents - The Organization considers all highly liquid investments with original maturities of three months or less to be cash equivalents.

Investments - Investments are reported at their fair values in the consolidated statement of financial position. Investment transactions are recorded on the trade date and investment income is recorded in the consolidated statement of activities when earned. Realized gains and losses are recorded as the difference between historical cost and the proceeds earned from the sale of an investment. Unrealized gains and losses are recorded for the change in fair value of investments between reporting periods. This activity is reported as investment return in the consolidated statement of activities, and is recorded net of related investment expenses and also includes dividend and interest income.

Accounts Receivable - Accounts receivable are recorded at the value of the revenue earned when the Organization has an unconditional right to payment under the terms of the customer's contract. Receivable balances are considered past due based on how recently payments have been received, and delinquent invoices do not accrue interest. The Organization continually monitors the credit worthiness of each account holder and recognizes allowances for estimated credit losses on accounts that are no longer estimated to be collectible. The Organization adjusts any allowance for subsequent collections or upon final determination that a balance is no longer collectible. As of September 30, 2024 and 2023, the Organization had recorded no allowance for estimated credit losses as management deemed all balances to be collectible.

Capital Campaign Contributions Receivable - Unconditional promises to give are recorded at fair value if expected to be collected in one year and at net present value if expected to be collected in more than one year. The Organization records a discount to reflect the present value of receivables using approximate market rates applicable to the years in which the pledge is included in contribution revenue. The Organization recorded an allowance of \$21,520 for uncollectible contributions receivable as of September 30, 2024. The Organization had no allowance for uncollectible contributions receivable as of September 30, 2023, as management deemed all outstanding balances to be collectible.

Program Rights - Program rights are recorded at cost and amortized on a straight-line basis over the period of the license agreements, ranging from one to three years. Amortization, included with dues and subscriptions programming expense in the consolidated statement of activities, is expected to be \$1,663,463, \$1,091,063, and \$476,264 during the years ending September 30, 2025, 2026, and 2027, respectively.

Property and Equipment - Acquisitions of property and equipment are capitalized at cost if purchased and at fair value on the date of receipt, if donated. The Organization capitalizes all acquisitions over \$5,000 and expenses maintenance and repairs that do not improve or extend the useful lives of the assets. Property and equipment are depreciated using the straight-line method over periods of three to ten years. Amortization of leasehold improvements is calculated on a straight-line basis at the lesser of the estimated useful life or remaining life of the lease (five to ten years). Construction in process is not depreciated.

Leases - The Organization leases its studio, office space, and equipment consisting of a broadcasting tower, transmitter space, and other office equipment under long-term lease agreements. Management assesses contracts at inception to determine whether an arrangement is or includes a lease, which conveys the Organization's right to control the use of an identified asset for a period of time in exchange for consideration. A determination is made at inception as to whether the lease is an operating lease or a finance lease, and lease determinations are reassessed in the event of a change in lease terms. Right-of-use ("ROU") assets and the associated liabilities are recognized at the commencement date and initially measured based on the present value of future minimum lease payments over the expected lease term, with ROU assets increased for initial direct costs and prepaid lease payments and reduced by any lease incentives received from the lessor.

The Organization calculates the discount rate based on the rate implicit in the lease, or if the implicit rate is not readily determinable, the Organization calculates an incremental borrowing rate using a portfolio approach. Leases with an initial term of twelve months or less are classified as short term leases and are not recognized in the consolidated statement of financial position unless the lease contains a purchase option that is reasonably certain to be exercised. Lease payments for short-term leases are recognized on a straight-line basis over the lease term.

Lease agreements may include periodic adjustments to payment amounts for inflation or other variables, or may require payments for taxes, insurance, maintenance or other expenses, which are generally referred to as non-lease components. The Organization elects the practical expedient to account for non-lease components together with the related lease components for all classes of leased assets. Certain lease agreements may include renewal options to extend the lease term or terminate the lease prior to its scheduled expiration date in exchange for an agreed-upon fee. Management assesses these options using a threshold of reasonably certain, which is a high threshold; therefore, the Organization's lease agreements do not generally include renewal periods or termination options. Lease term, discount rate, variable lease costs and future minimum lease payment determinations require the use of judgment and are based on the facts and circumstances of each lease. Economic incentives, intent, past history and business need are among the factors considered to determine if renewal and/or purchase options are reasonably certain to be exercised. The Organization's lease agreements do not contain residual value guarantees, restrictions, or covenants.

Operating lease expense is recorded within occupancy expense over the term of the lease on a straight-line basis. Fixed costs for operating leases are composed of initial base rent amounts plus any fixed annual increases. Variable costs for operating leases consist primarily of common area maintenance under the office lease. Finance ROU assets are amortized using the straight-line method over the shorter of the lease term or the estimated useful lives of the related assets and included with depreciation and amortization on the consolidated statement of functional expenses.

Costs to Obtain or Fulfill Contracts - The Organization does not incur significant costs to obtain or fulfill contracts requiring capitalization.

Impairment of Long-Lived Assets - Long-lived assets are reviewed for impairment at the asset group level whenever events or changes in circumstances indicate the amount recorded may not be recoverable. An impairment loss is recognized by the amount in which the carrying amount of the asset group exceeds fair value, if the carrying amount of the asset group is not recoverable.

Contributions - All contributions are recorded at their fair value and are considered to be available for operations of the Organization unless specifically restricted by the donor. KLRU records membership revenue as contributions. Unconditional promises to give cash and other assets are reported as net assets with donor restrictions, if they are received with donor stipulations that limit the use of donated assets. When donor restrictions expire, that is, when a stipulated time restriction ends or purpose restriction is accomplished, the related amounts are reclassified to net assets without donor restrictions. This is reported in the consolidated statement of activities as net assets released from restrictions. Conditional promises to give, defined as those with a measurable performance or other barrier and a right of return, are recognized only when the conditions on which they depend are substantially met and the promises become unconditional.

Revenue Recognition - Revenue is recognized when promised goods or services are transferred to customers in an amount that reflects the consideration to which the Organization expects to be entitled in exchange for those goods or services by following a five-step process, (1) identify the contract with a customer, (2) identify the performance obligations in the contract, (3) determine the transaction price, (4) allocate the transaction price, and (5) recognize revenue when or as the Organization satisfies a performance obligation. All of the Organization's significant exchange-type revenue contracts are deemed to have one performance obligation to the customer.

License Fees and Royalties - License fees are generated from the licensing of ACL branding at events or locations, such as the annual ACL music festival. License fees revenue is recognized based on contract terms with licensees, over the period of the contracts. The Organization receives usage-based royalty fees from merchants who sell merchandise which use ACL audio, video, or branding. Royalty revenue is recorded at the point in time when it is earned, based on the sales of such products by the merchants to consumers. When the amount of royalty revenue cannot be reasonably determined before it is received in cash from merchants, revenue is recognized when funds are received.

Production Underwriting Revenue and Related Costs - ACL production underwriting revenue is recognized at the point in time when the ACL broadcast occurs. Under the completed-contract method, revenue is recognized only when a production is completed or substantially completed. During the production period, funding received and related costs are accumulated on the consolidated statement of financial position as deferred revenues and prepaid expenses.

All revenue and expense related to ACL productions are recognized in the period in which all of the following conditions are met: a) the programming is available for airing, b) the programming has been accepted by all funding or other third parties that possess contractual rights to review the material prior to airing, and c) no conflicting license agreements prevent the programming from being aired immediately. Deferred revenue includes amounts received from ACL underwriters in excess of revenue recognized and amounts billed to ACL underwriters under the provisions of their contracts, for which balances may still be outstanding in accounts receivable. The related production costs incurred in connection with the ACL television series are recorded as prepaid expenses until the productions are broadcasted, at which time they are expensed. All other local production underwriting revenue (other than ACL) and related costs are recognized as expenses are incurred, under the percentage-of-completion method.

Community Service Grant - The Corporation for Public Broadcasting ("CPB") is a private, nonprofit grant-making organization responsible for funding more than 1,000 television and radio stations. KLRU records the revenue from these conditional contribution grants as funds are expended in accordance with the applicable grant award.

In-kind Support and Contributed Services - Donated services are recognized by the Organization if the services received (a) create or enhance non-financial assets and (b) require specialized skills, are provided by individuals possessing those skills, and would typically need to be purchased if not provided by donation. Donated services, materials, and facilities are recorded at fair value on the date of donation, and are included in revenue and expenses when used. KLRU receives unconditional contributions of the use of facilities, in which the donor retains legal title to the asset.

Special Events - Special events revenues are comprised of ticket sales and event sponsorships, recognized at the point in time the events occur. A portion of deferred revenue is comprised of amounts collected in advance for special events for which the event takes place in the following fiscal year and will be recorded to revenue at the time of the event.

Advertising Costs - The Organization expenses advertising costs as incurred.

Functional Allocation of Expenses - The accompanying consolidated financial statements present expenses by functional and natural classification. Natural expenses directly attributable to a specific functional area are reported as expenses of those functional areas. Accordingly, certain costs have been allocated among the program and supporting services using a variety of cost allocation techniques, such as time and effort.

Federal Income Taxes - KLRU is a nonprofit organization exempt from federal income taxes under Section 501(c)(3) of the Internal Revenue Code ("IRC"), except with respect to any unrelated business income. KLRU did not incur any significant tax liabilities due to unrelated business income during the years ended September 30, 2024 and 2023. KLRU files form 990 tax returns in the U.S. federal jurisdiction and is subject to routine examinations of its returns; however, there are no examinations currently in progress. The Internal Revenue Service has also recognized KLRU as a public charity under Section 509(a)(1) of the IRC.

KNV files income tax returns in the U.S. federal jurisdiction and the state of Texas. ACLE is a disregarded entity for income tax purposes. Income taxes are accounted for under the liability method whereby deferred tax assets and liabilities are determined based on differences between financial reporting and tax bases of assets and liabilities and are measured using the enacted tax rates and laws that will be in effect when the differences are expected to reverse. Valuation allowances are established when considered necessary to reduce the net deferred tax assets to amounts which are more likely than not to be realized.

KNV may recognize the tax benefit from an uncertain tax position only if it is more likely than not that the tax position will be sustained upon examination by the relevant taxing authority based on the technical merits of the position. The tax benefits recognized in the consolidated financial statements from such a position are measured based on the largest benefit that has a greater than 50% likelihood of being realized upon ultimate settlement. Management evaluated KNV's tax positions for all open tax years and believes KNV had no material uncertain tax positions and has recorded no related interest or penalties during the years ended September 30, 2024 and 2023.

3. Concentration of Credit Risk

Financial instruments which potentially subject the Organization to credit risk consist of cash and cash equivalents, restricted cash, investments, accounts receivable, and capital campaign contributions receivable. The Organization places its cash and cash equivalents with a limited number of high-quality financial institutions and may exceed the amount of insurance provided on such deposits. Investments are exposed to various risks, such as interest rate, market, and credit risks. Due to the level of risk associated with certain investments, it is at least reasonably possible that changes in the near-term could materially affect the amounts reported in the consolidated statements of financial position. The Organization does not maintain collateral for its receivables. As of September 30, 2024, three sponsors accounted for 68% of accounts receivable. As of September 30, 2024, five donors accounted for 77% of capital campaign contributions receivable. As of September 30, 2024, one sponsor accounted for 17% of accounts receivable. As of September 30, 2023, four donors accounted for 67% of capital campaign contributions receivable. During the year ended September 30, 2023, four donors comprised 82% of capital campaign revenue.

4. Liquidity and Availability of Financial Assets

The Organization's financial assets available to management for general expenditure within one year were as follows as of September 30:

	2024	2023
Cash and cash equivalents	\$ 12,489,592	\$ 12,102,561
Investments	6,005,501	5,604,874
Accounts receivable	621,262	565,666
	19,116,355	18,273,101
Less amounts unavailable for general expenditure within one year- Donor-restricted endowment funds	(3,201,690)	(3,263,733)
Total amounts available for general expenditure within one year	<u>\$ 15,914,665</u>	<u>\$ 15,009,368</u>

The Organization invests its funds in liquid investments in a manner to maximize return, minimize interest rate risk, and support cash flow requirements. The Board ensures the Organization's financial stability by approving an annual budget prior to the start of each fiscal year. Any expenditures not in the approved budget must be approved. The Organization maintains financial policies to ensure funds are allocated in a manner consistent with the mission of the Organization. Capital campaign contribution receivables and restricted cash are not included in the total amounts available for general expenditures because they are restricted for a specific purpose.

5. Investments

Investments reported at fair value as of September 30, 2024 were as follows:

		Fair Value Measurements Using:		
	Fair Value	Level 1 Inputs	Level 2 Inputs	Level 3 Inputs
Corporate equities	\$ 3,370,833	3,370,833	-	-
Corporate bonds	1,145,063	-	1,145,063	-
U.S. treasuries	556,664	-	556,664	-
Mutual funds	545,495	545,495	-	-
Cash equivalents	362,442	362,442	-	-
Municipal bonds	25,004	-	25,004	-
Total investments	<u>\$ 6,005,501</u>	<u>4,278,770</u>	<u>1,726,731</u>	<u>-</u>

Investments reported at fair value as of September 30, 2023 were as follows:

		Fair Value Measurements Using:		
	Fair Value	Level 1 Inputs	Level 2 Inputs	Level 3 Inputs
Corporate equities	\$ 3,142,331	3,142,331	-	-
Corporate bonds	1,094,348	-	1,094,348	-
U.S. treasuries	390,250	-	390,250	-
Mutual funds	710,390	710,390	-	-
Cash equivalents	242,938	242,938	-	-
Municipal bonds	24,617	-	24,617	-
Total investments	<u>\$ 5,604,874</u>	<u>4,095,659</u>	<u>1,509,215</u>	<u>-</u>

Corporate equities and mutual funds are classified within Level 1 of the fair value hierarchy because they are sold on an active market and valued using quoted market prices, broker dealer quotations or other alternative pricing sources with reasonable levels of price transparency. Corporate bonds, U.S. treasuries, and municipal bonds are classified as Level 2 as values are obtained from readily-available sources for comparable instruments.

6. Capital Campaign Contributions Receivable

Capital campaign contributions receivable were comprised of the following as of September 30:

	2024	2023
Amounts due in:		
Less than one year	\$ 306,601	\$ 416,360
One to five years	123,800	316,853
	430,401	733,213
Less allowance for uncollectible accounts	(21,520)	-
Less discount to net present value	(4,475)	(12,253)
Total capital campaign contributions receivable, net	<u>\$ 404,406</u>	<u>\$ 720,960</u>

The present value of estimated future long-term cash flows was calculated using a discount rate of 3.75% as of September 30, 2024 and 2023.

7. Property and Equipment

Property and equipment consisted of the following as of September 30:

	2024	2023
Studio broadcast equipment	\$ 13,370,908	\$ 6,760,208
Transmitter / antenna	2,362,362	2,258,593
Leasehold improvements	2,485,529	626,580
Office and transportation equipment	1,728,369	1,360,488
	19,947,168	11,005,869
Less accumulated depreciation and amortization	(10,044,399)	(9,736,017)
Construction in process	-	7,927,567
Total property and equipment, net	<u>\$ 9,902,769</u>	<u>\$ 9,197,419</u>

8. Borrowing Arrangements

In May 2024, KLRU obtained a \$1,000,000 revolving line of credit (“RLOC”) and a \$1,000,000 equipment line of credit (“ELOC”) with a financial institution. The RLOC is collateralized by substantially all assets of KLRU and has a maturity date of May 2025. The ELOC is required to be used to equipment purchases, is collateralized by these equipment purchases, and has a maturity date of May 2029. Both lines of credit bear interest at Daily SOFR plus 2.25% and can be withdrawn at the institution’s option.

9. Leases

The following is a summary of the Organization's lease expense for the years ended September 30:

	2024	2023
Finance lease expense:		
Amortization of ROU assets	\$ 25,346	\$ 16,868
Interest on lease obligations	1,679	1,605
Operating lease expense	860,538	658,897
Variable lease expense	58,021	227,891
Total	<u>\$ 945,584</u>	<u>\$ 905,261</u>

Future minimum lease payments due under long-term lease agreements, excluding payments for common area maintenance, were as follows as of September 30, 2024:

	Financing Leases	Operating Leases
2025	\$ 25,710	\$ 324,609
2026	8,700	324,609
2027	-	354,547
2028	-	648,761
2029	-	543,608
Thereafter	-	18,080,051
Total minimum lease payments	34,410	20,276,185
Less amounts representing interest	<u>(800)</u>	<u>(10,463,328)</u>
Total lease obligations	<u>\$ 33,610</u>	<u>\$ 9,812,857</u>

As of September 30, 2024, the operating leases had a remaining lease term of 26.53 years and a discount rate of 4.97%, and finance leases had a weighted average remaining lease term of 1.35 years and a weighted average discount rate of 3.75%. As of September 30, 2023, the operating lease had a remaining lease term of 28.92 years and a discount rate of 5.00%, and finance leases had a weighted average remaining lease term of 2.33 years and a weighted average discount rate of 3.75%.

The Organization will also provide certain academic benefits, under a lease agreement with an academic institution for a production and broadcast studio and office space. Not less than 10 years after lease commencement, the academic institution shall have the right to terminate the lease if a determination is made that the property should serve a higher priority purpose. The academic institution would then be required to provide relocation assistance and expense reimbursement.

10. Net Assets With Donor Restrictions

Net assets with donor restrictions were restricted for the following purposes as of September 30:

	<u>2024</u>	<u>2023</u>
Permanent restrictions-		
Donor-restricted endowment funds (Note 11)	\$ 1,201,814	\$ 1,201,814
Temporary restrictions:		
Capital campaign	-	9,119,986
Unappropriated earnings from permanently restricted donor endowments (Note 11)	<u>1,999,876</u>	<u>2,061,919</u>
Total	<u>\$ 3,201,690</u>	<u>\$ 12,383,719</u>

During the year ended September 30, 2020 the Organization began a capital campaign to fund the construction of the Ausitn Medica Center which was placed in service during the year ended September 30, 2024.

11. Endowment Fund

The Texas Uniform Prudent Management of Institutional Funds Act (“TUPMIFA”) requires and the Board has adopted an endowment policy which requires the preservation of the fair value of the original gift as of the gift date of the perpetual donor-restricted endowment funds absent explicit donor stipulations to the contrary. Donor-restricted net assets are classified at the original value of gifts donated to the permanent endowment, which is named KLRU General Endowment Fund (the “Endowment Fund”), plus the original value of subsequent gifts to the Endowment Fund. The remaining portion of the donor-restricted Endowment Fund is classified as net assets with donor restrictions until those funds are appropriated for expenditure by KLRU in a manner consistent with the standard of prudence prescribed by TUPMIFA and the Board’s spending policy.

In accordance with TUPMIFA, KLRU considers the following factors in making a determination to appropriate or accumulate donor-restricted endowment funds: (1) the duration and preservation of the various funds, (2) the purposes of the donor-restricted endowment funds, (3) general economic conditions, (4) the possible effect of inflation and deflation, (5) the expected total return from income and the appreciation of investments, (6) other resources of KLRU, and (7) KLRU’s investment policies.

The spending policy adopted by the Board is summarized as follows: each year the Endowment Fund reaches \$2,000,000, the Endowment Fund may distribute annually up to 5% of the trailing five year average of the investment fund’s total market value calculated using the trailing 20 calendar quarters ending September 30 of the current fiscal year. The spending rate calculation shall not include the market value of gifts received within the previous 12 months of the final date of the calculation period that are greater than 10% of the previous fiscal year’s market value. Any distribution in excess of 5% of a trailing five year average of the Endowment Fund’s total market value must be recommended by the Endowment Committee and approved by the Board. The permanently restricted corpus of the Endowment Fund shall not be expended or distributed for any reason.

The Endowment Investment and Distribution policy details the objectives, asset mix, investment restrictions, external fund management and Board monitoring procedures. The primary objective is to provide a continuing and dependable cash payout, stable and preferably growing in real terms, after giving effect to inflation. The secondary objective is to appreciate the total value of the Endowment Fund over time, exclusive of growth derived from donations. To meet these objectives, the Board organizes and maintains an investment program for the Endowment Fund that attempts to maximize the return on the Endowment's investments, consistent with an appropriate level of risk and subject to generation of adequate current income. Additionally, the Endowment Fund is diversified at all times to provide reasonable assurance that investment in a single security, a class of securities, or industry will not have an excessive impact on the Endowment Fund. There were no deficiencies for donor-restricted endowment funds as of September 30, 2024 and 2023.

Changes in Endowment Fund net assets were as follows during the year ended September 30, 2024:

	Without Donor Restrictions	With Donor Restrictions	Total
Endowment net assets, beginning of year	\$ 2,341,140	\$ 3,263,733	\$ 5,604,873
Investment income	45,156	62,359	107,515
Management fees	(13,146)	(18,155)	(31,301)
Net realized and unrealized gains	430,661	594,723	1,025,384
Appropriations for expenditure	-	(700,970)	(700,970)
Endowment net assets, end of year	<u>\$ 2,803,811</u>	<u>\$ 3,201,690</u>	<u>\$ 6,005,501</u>

Changes in Endowment Fund net assets were as follows during the year ended September 30, 2023:

	Without Donor Restrictions	With Donor Restrictions	Total
Endowment net assets, beginning of year	\$ 2,100,425	\$ 2,931,318	\$ 5,031,743
Investment income	34,983	48,309	83,292
Management fees	(12,067)	(16,665)	(28,732)
Net realized and unrealized gains	217,799	300,771	518,570
Endowment net assets, end of year	<u>\$ 2,341,140</u>	<u>\$ 3,263,733</u>	<u>\$ 5,604,873</u>

12. Community Service Grants

CPB distributes annual Community Service Grants (“CSG”) to qualifying public telecommunications entities. The grants are approved by the U.S. Congress each year and could be reduced in the future. KLRU’s CSG is reported in the accompanying consolidated financial statements in net assets without donor restrictions; however, certain guidelines must be satisfied in connection with application for and use of the funds to maintain eligibility and compliance requirements. These guidelines pertain to the use of funds, recordkeeping, audits, financial reporting, and licensee status with the Federal Communications Commission. Such grants were received for specific purposes that are subject to review and audit by government agencies. Such audits could result in a request for reimbursement for expenditures disallowed under terms and conditions of the appropriate agency. In the opinion of KLRU’s management, such disallowances, if any, would not be significant.

13. In-kind Support and Contributed Services

The Organization received in-kind support and contributed services as follows during the years ended September 30:

	2024	2023
Venue and parking	\$ 909,585	\$ 833,400
Production and programming services and use of technical equipment	77,296	71,614
Advertising and marketing services	40,113	58,869
Vehicle	15,000	-
Operating expenses	14,374	13,658
Legal services	3,674	38,193
Total	<u>\$ 1,060,042</u>	<u>\$ 1,015,734</u>

All donated services and assets were utilized by the Organization’s programs and supporting services. There were no donor-imposed restrictions associated with the donated services and assets.

The Organization receives contributed venue space, parking, advertising, production, and legal services that are reported using current rates for similar services.

Other contributed assets and services such as food, beverage, rental fees, property and equipment, and other goods are used to defray costs of operating expense. These items are recognized at estimated fair value using rates or pricing for similar products or services.

14. Retirement Plan

The Organization provides a 403(b) retirement plan, available to all employees with over one year of service. Employees can elect to make additional contributions to the plan through a deduction from their salary on a tax-deferred basis. The Organization contributes 4% of compensation to eligible employees, as defined. The Organization matches up to 3% of the additional tax-deferred contributions made by employees. The Organization's contributions to the retirement plan totaled \$343,801 and \$247,808 during the years ended September 30, 2024 and 2023, respectively.

15. Related Party Transactions

Contributions from certain members of the Board totaled \$325,705 during the year ended September 30, 2024. Contributions from certain members of the Board totaled \$386,071 during the year ended September 30, 2023. Outstanding receivables from the Board totaled \$53,260 as of September 30, 2023.

16. Subsequent Events

The Organization has evaluated subsequent events through March 7, 2025 (the date the consolidated financial statements were available to be issued), and no events have occurred from the consolidated statement of financial position date through that date that would impact the consolidated financial statements.